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Being an Effective Leader

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Learning Objectives

1. **Define** leader and leadership.
2. **Compare** and contrast early theories of leadership.
3. **Describe** the three major contingency theories of leadership.
 - **Develop your skill** at choosing an effective leadership style.
4. **Describe** contemporary views of leadership.
5. **Discuss** contemporary issues affecting leadership.
 - **Know how** to prepare for an effective transition to a leadership position.



Who Are Leaders and What Is Leadership?

- **Leader** – someone who can influence others and who has managerial authority.
- **Leadership** – what leaders do; the process of influencing a group to achieve goals.
- Ideally, all managers *should be* leaders.

Early Leadership Theories

- **Trait Theories (1920s -1930s)**
 - Research focused on identifying personal characteristics that differentiated leaders from non-leaders was unsuccessful.
 - It proved impossible to identify a set of traits that would *always* differentiate a leader (the person) from a nonleader.



Exhibit 17-1

Eight Traits Associated with Leadership

1. **Drive.** Leaders exhibit a high effort level. They have a relatively high desire for achievement, they are ambitious, they have a lot of energy, they are tirelessly persistent in their activities, and they show initiative.
2. **Desire to lead.** Leaders have a strong desire to influence and lead others. They demonstrate the willingness to take responsibility.
3. **Honesty and integrity.** Leaders build trusting relationships with followers by being truthful or nondeceitful and by showing high consistency between word and deed.
4. **Self-confidence.** Followers look to leaders for an absence of self-doubt. Leaders, therefore, need to show self-confidence in order to convince followers of the rightness of their goals and decisions.
5. **Intelligence.** Leaders need to be intelligent enough to gather, synthesize, and interpret large amounts of information, and they need to be able to create visions, solve problems, and make correct decisions.
6. **Job-relevant knowledge.** Effective leaders have a high degree of knowledge about the company, industry, and technical matters. In-depth knowledge allows leaders to make well-informed decisions and to understand the implications of those decisions.
7. **Extraversion.** Leaders are energetic, lively people. They are sociable, assertive, and rarely silent or withdrawn.
8. **Proneness to guilt.** Guilt proneness is positively related to leadership effectiveness because it produces a strong sense of responsibility for others.



Early Leadership Theories (cont.)

- **Behavioral theories** – leadership theories that identify behaviors that differentiated effective leaders from ineffective leaders.
 - **University of Iowa Studies**
 - Identified three leadership styles
 - Autocratic
 - Democratic
 - Laissez-faire



University of Iowa Studies (cont.)

- **Autocratic style** – A leader who dictates work methods, makes unilateral decisions, and limits employee participation.
- **Democratic style** – A leader who involves employees in decision-making, delegates authority, and uses feedback as an opportunity for coaching employees
- **Laissez-faire style** – A leader who lets the group make decisions and complete the work in whatever way it sees fit.



Early Leadership Theories (cont.)

- **The Ohio State Studies**
 - Identified two dimensions of leader behavior:
 - **Initiating structure:** the role of the leader in defining his or her role and the roles of group members.
 - **Consideration:** the leader's mutual trust and respect for group members' ideas and feelings.



Results of Ohio State Studies

- High consideration/high structure leaders generally, but not always, achieved high scores on group task performance and satisfaction.
- Evidence indicated that situational factors appeared to strongly influence leadership effectiveness.



University of Michigan Studies

- Identified two dimensions of leader behavior:
 - **Employee oriented:** emphasizing personal relationships
 - **Production oriented:** emphasizing task accomplishment
- Research findings:
 - Leaders who are employee oriented are strongly associated with high group productivity and high job satisfaction.



The Managerial Grid

- **Managerial grid** – a two-dimensional grid for appraising leadership styles.
 - Places managerial styles in five categories:
 - Impoverished management
 - Task management
 - Middle-of-the-road management
 - Country club management
 - Team management

Exhibit 17-2

Behavioral Theories of Leadership

	Behavioral Dimension	Conclusion
University of Iowa	<i>Democratic style:</i> involving subordinates, delegating authority, and encouraging participation	Democratic style of leadership was most effective, although later studies showed mixed results.
	<i>Autocratic style:</i> dictating work methods, centralizing decision making, and limiting participation	
	<i>Laissez-faire style:</i> giving group freedom to make decisions and complete work	
Ohio State	<i>Consideration:</i> being considerate of followers' ideas and feelings	High-high leader (high in consideration and high in initiating structure) achieved high subordinate performance and satisfaction, but not in all situations
	<i>Initiating structure:</i> structuring work and work relationships to meet job goals	
University of Michigan	<i>Employee oriented:</i> emphasized interpersonal relationships and taking care of employees' needs	Employee-oriented leaders were associated with high group productivity and higher job satisfaction.
	<i>Production oriented:</i> emphasized technical or task aspects of job	
Managerial Grid	<i>Concern for people:</i> measured leader's concern for subordinates on a scale of 1 to 9 (low to high) <i>Concern for production:</i> measured leader's concern for getting job done on a scale of 1 to 9 (low to high)	Leaders performed best with a 9,9 style (high concern for production and high concern for people).



Contingency Theories of Leadership

- **Fieldler contingency model** – a leadership theory proposing that effective group performance depends on the proper match between a leader's style and the degree to which the situation allows the leader to control and influence.



The Fiedler Model (cont.)

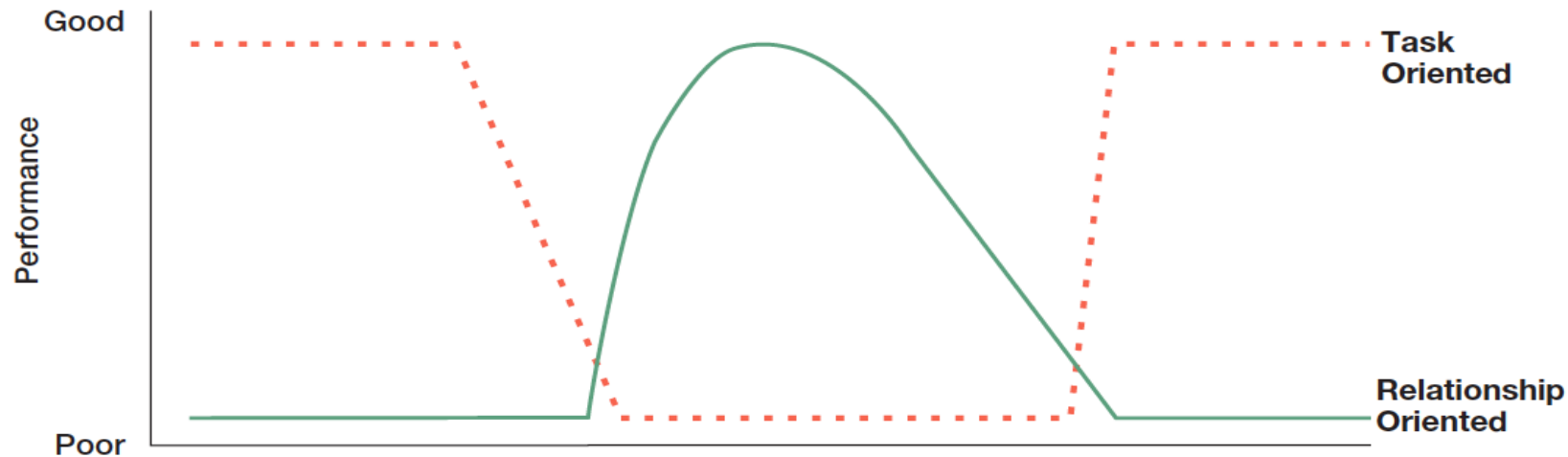
- **Least-preferred coworker (LPC) questionnaire** – a questionnaire that measures whether a leader is task or relationship oriented.

The Fiedler Model (cont.)

- **Leader-member relations** – the degree of confidence, trust, and respect employees had for their leader; rated as either good or poor.
- **Task structure** – the degree to which job assignments were formalized and structured; rated as either high or low.
- **Position power** – the degree of influence a leader had over activities such as hiring, firing, discipline, promotions, and salary increases; rated as either strong or weak.

Exhibit 17-3

The Fiedler Model



Situation Favorableness:		Highly Favorable			Moderate			Highly Unfavorable	
Category		I	II	III	IV	V	VI	VII	VIII
Leader-Member Relations		Good	Good	Good	Good	Poor	Poor	Poor	Poor
Task Structure		High	High	Low	Low	High	High	Low	Low
Position Power		Strong	Weak	Strong	Weak	Strong	Weak	Strong	Weak



Hersey and Blanchard's Situational Leadership Theory (SLT)

- **Situational Leadership Theory (SLT)** – a leadership contingency theory that focuses on followers' readiness.
- **Readiness** – the extent to which followers have the ability and willingness to accomplish a specific task.



SLT Leadership Styles

- *Telling* (high task–low relationship): The leader defines roles and tells people what, how, when, and where to do various tasks.
- *Selling* (high task–high relationship): The leader provides both directive and supportive behavior.



SLT Leadership Styles (cont.)

- *Participating* (low task–high relationship): The leader and followers share in decision-making; the main role of the leader is facilitating and communicating.
- *Delegating* (low task–low relationship): The leader provides little direction or support.



Four Stages of Follower Readiness

- *R1*: People are both *unable and unwilling* to take responsibility for doing something. Followers aren't competent or confident.
- *R2*: People are *unable but willing* to do the necessary job tasks. Followers are motivated but lack the appropriate skills.



Four Stages of Follower Readiness (cont.)

- *R3: People are able but unwilling* to do what the leader wants. Followers are competent, but don't want to do something.
- *R4: People are both able and willing* to do what is asked of them.

Path-Goal Model

- **Path-goal theory** – a leadership theory that says the leader's job is to assist followers in attaining their goals and to provide direction or support needed to ensure that their goals are compatible with the goals of the group or organization.



Path-Goal Model (cont.)

- Four leadership behaviors
 - *Directive leader*: Lets subordinates know what's expected of them, schedules work to be done, and gives specific guidance on how to accomplish tasks.
 - *Supportive leader*: Shows concern for the needs of followers and is friendly.

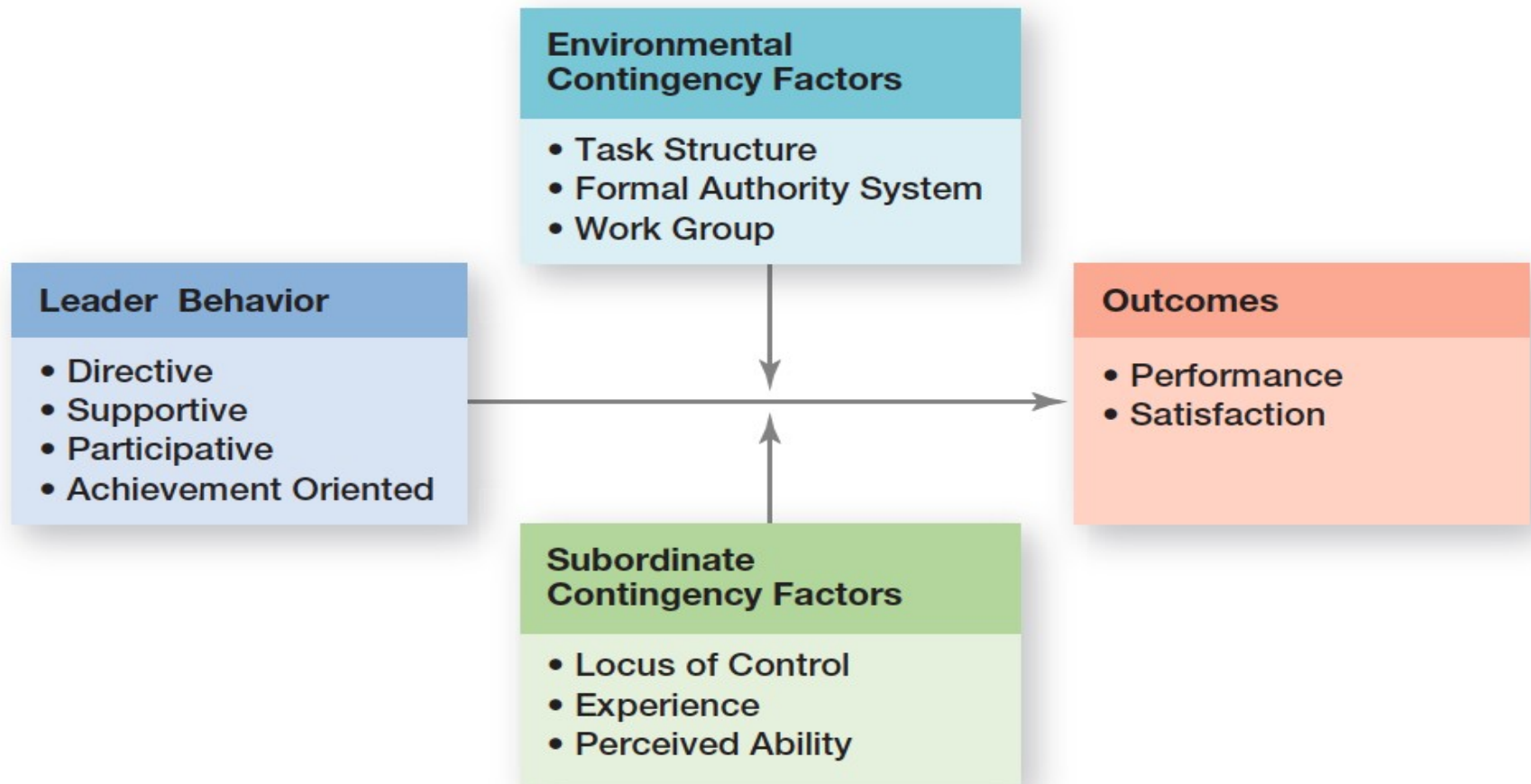


Path-Goal Model (cont.)

- Four leadership behaviors (cont.)
 - *Participative leader*: Consults with group members and uses their suggestions before making a decision.
 - *Achievement oriented leader*: Sets challenging goals and expects followers to perform at their highest level.

Exhibit 17-4

Path-Goal Model





Contemporary Views of Leadership

- **Leader-member exchange theory (LMX)** – the leadership theory that says leaders create in-groups and out-groups and those in the in-group will have higher performance ratings, less turnover, and greater job satisfaction.



Contemporary Views of Leadership (cont.)

- **Transactional leaders** – leaders who lead primarily by using social exchanges (or transactions).
- **Transformational leaders** – leaders who stimulate and inspire (transform) followers to achieve extraordinary outcomes.



Contemporary Views of Leadership (cont.)

- **Charismatic leader** – an enthusiastic, self-confident leader whose personality and actions influence people to behave in certain ways.
- **Visionary leadership** – the ability to create and articulate a realistic, credible, and attractive vision of the future that improves upon the present situation.

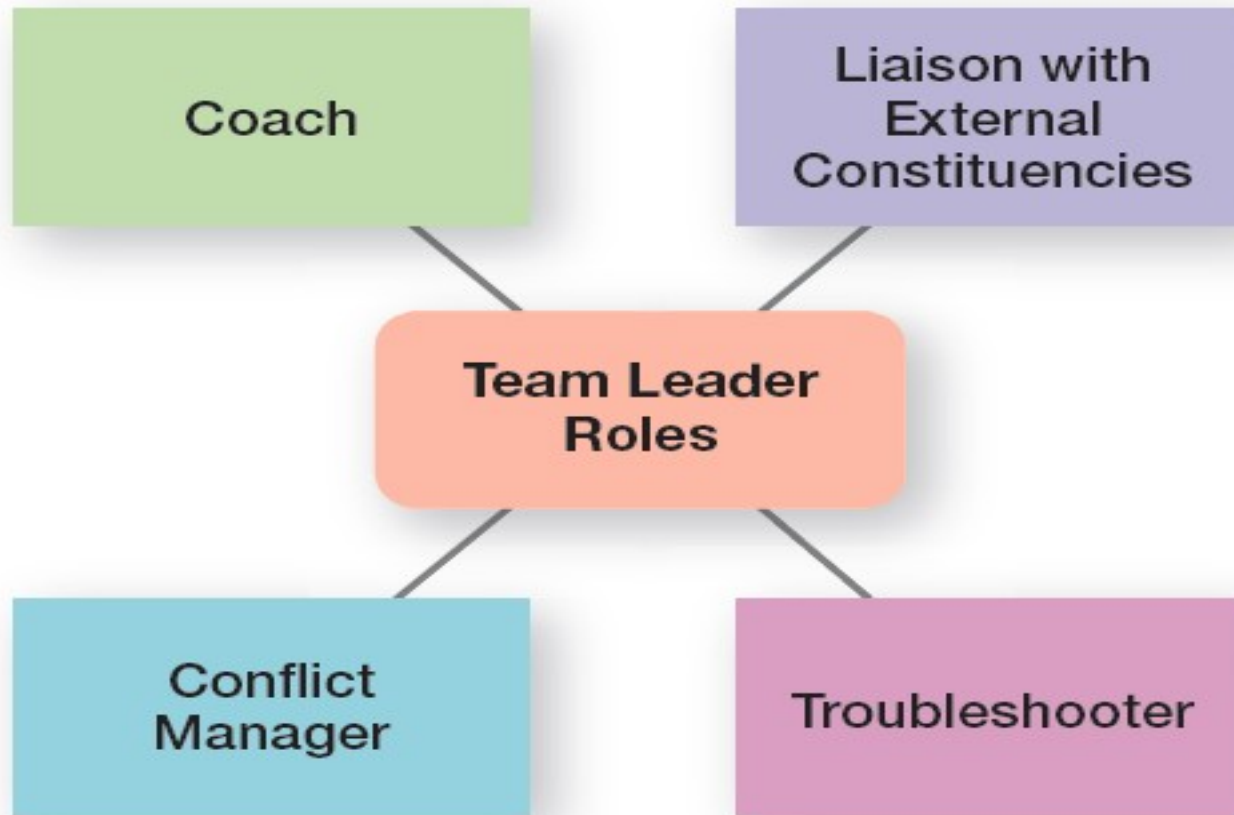


Contemporary Views of Leadership (cont.)

- Team Leadership – many leaders are not equipped to handle the change to employee teams.
- A team leader's job is to focus on two priorities:
 1. Managing the team's external boundary.
 2. Facilitating the team process.

Exhibit 17-5

Team Leadership Roles





Leadership Issues in the Twenty-First Century

- Managing Power
 - **Legitimate power** – the power a leader has as a result of his or her position.
 - **Coercive power** – the power a leader has to punish or control.
 - **Reward power** – the power to give positive benefits or rewards.



Leadership Issues in the Twenty-First Century (cont.)

- Managing Power (cont.)
 - **Expert power** – the influence a leader can exert as a result of his or her expertise, skills, or knowledge.
 - **Referent power** – the power of a leader that arises because of a person's desirable resources or admired personal traits.



Leadership Issues in the Twenty-First Century (cont.)

- Developing Trust
 - **Credibility** – the degree to which followers perceive someone as honest, competent, and able to inspire.
 - **Trust** – the belief in the integrity, character, and ability of a leader.

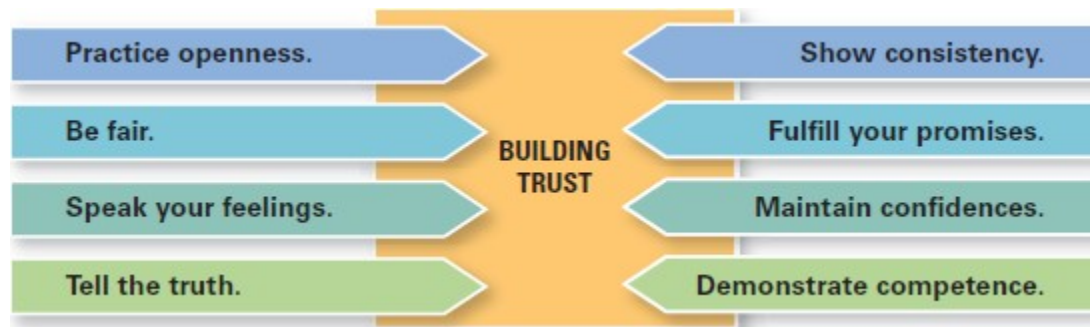


Leadership Issues in the Twenty-First Century (cont.)

- Five Dimensions of the Concept of Trust
 - *Integrity*: honesty and truthfulness
 - *Competence*: technical and interpersonal knowledge and skills
 - *Consistency*: reliability, predictability, and good judgment in handling situations
 - *Loyalty*: willingness to protect a person, physically and emotionally
 - *Openness*: willingness to share ideas and information freely

Exhibit 17-6

Building Trust





Leadership Issues in the Twenty-First Century (cont.)

- Empowering Employees
 - **Empowerment** – increasing the decision-making discretion of workers such that teams can make key operating decisions in developing budgets, scheduling workloads, controlling inventories, and solving quality problems.



Leadership Issues in the Twenty-First Century (cont.)

- Leading Across Cultures
 - Effective leaders do not use a single style. They adjust their style to the situation.
 - National culture is certainly an important situational variable in determining which leadership style will be most effective.



Exhibit 17-7

Cross-Cultural Leadership

- Korean leaders are expected to be paternalistic toward employees.
 - Arab leaders who show kindness or generosity without being asked to do so are seen by other Arabs as weak.
 - Japanese leaders are expected to be humble and speak frequently.
 - Scandinavian and Dutch leaders who single out individuals with public praise are likely to embarrass, not energize, those individuals.
 - Effective leaders in Malaysia are expected to show compassion while using more of an autocratic than a participative style.
 - Effective German leaders are characterized by high performance orientation, low compassion, low self-protection, low team orientation, high autonomy, and high participation.
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Becoming an Effective Leader

- Leader Training
 - Training is more likely to be successful with individuals who are high self-monitors than those who are low self-monitors.
 - Individuals with higher levels of motivation to lead are more receptive to leadership development opportunities.